FISCAL MEASURES IN RESPONSE TO THE COVID-19 PANDEMIC

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Prior to the Covid-19 pandemic, the Australian economy experienced weak but positive economic growth aided by stimulatory monetary policy combined with a medium term fiscal strategy by the Australian government to achieve a budget surplus and reduce public debt.

With the rapid onset of the Covid-19 pandemic the Australian government acted quickly in early March 2020 to provide monetary and fiscal stimulus to the economy to protect jobs, incomes and businesses. Fiscal policy is the government's ability to change taxation and expenditure in its budget to support economic activity. The Australian government announced the postponement of the 2020-21 budget until October 6th 2020.

The Coronavirus - The Nature of the Economic Shock

The coronavirus or Covid-19 pandemic has taken the world by total surprise and is already exposing numerous economic weaknesses in modern economies. It also reminds us of the heavily interconnected world that we live in and the need for a renewed spirit of international co-operation to mitigate the damage to public health and economic activity. This is essential for the more effective leadership and expertise required to guide policy responses to counter the dual health and economic crises that we face.

Apart from the direct impact on public health, a crisis of this magnitude can trigger at least two direct kinds of economic shock:

- The first is on the supply side, a shock to production, owing to disrupted global supply chains. For example, suspending the production of basic pharmaceutical chemicals in China disrupts the production of generic drugs in India, which in turn reduces drug shipments to the United States.

  Since global supply chains are more interdependent, these effects can be transmitted quickly from one country to another, although not all industries are affected to the same degree. Demand for durables is delayed and some professions and industries are more adaptable than others. In particular, small businesses based on current consumption (e.g. retail, restaurants, cafes, movies, concerts, sporting events, travel and tourism) will be worst affected. Less adaptable businesses may close and casual and part time workers are more likely to be stood down if there is no work.

- The second shock is to demand: as people and governments take steps to slow the spread of the coronavirus, spending in restaurants, shopping malls and tourist destinations collapses. The potential also exists for indirect aftershocks, such as the recent plunge in oil prices following Russia and Saudi Arabia's failure to agree on co-ordinated output cuts. These and other shocks are likely to force the shutdown of small and medium sized businesses leading to increased retrenchments, less consumer confidence and further reductions in consumption and aggregate demand.

  In addition to this, downgrades and defaults by highly leveraged or indebted companies could lead to wider losses in the global financial system. This in turn would curtail liquidity and credit and trigger a dramatic tightening of the financial conditions that have been supportive of economic growth.

It is the simultaneous supply and demand shocks that are putting greater stress on businesses as they need to access credit lines to

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Extract 1: Economic Response to the Coronavirus (last updated 2nd May 2020)

The Government is acting decisively in the national interest to support households and businesses and address the significant economic consequences of the coronavirus.

While the full economic effects from the virus remain uncertain, the outlook has deteriorated since the Government's initial Economic Response announced on March 12th 2020.

The spread of the virus worldwide has broadened, and is expected to be more prolonged. Governments, both international and domestic, have announced stricter mitigation measures to slow the spread of the virus, which are having significant economic impacts.

On March 30th 2020 the Government announced the $130b JobKeeper Payment to help keep Australians in jobs as we deal with the significant economic impact from the coronavirus. This brings the Government's total support for the economy to $320b across the forward estimates, representing 16.4% of annual GDP.

Source: www.treasury.gov.au

pay their bills. With flights halted, supply chains disrupted and consumption activities curtailed, government support for the economy through fiscal and monetary policy stimulus has become the source of hope.

The Australian government had to decide who should be helped and to what degree among the many people affected by the coronavirus pandemic. Casual workers who have lost their jobs, the tourism industry, airlines and personal service based SMEs (e.g. gymnasiums, beauticians, musicians and entertainers, hotels and retailers of non essential goods) are exposed to an economic contraction of -10% in GDP in the March and June quarters 2020 and Treasury's estimate of unemployment of 10% by June 2020.

The Fiscal Response to the Coronavirus

The Australian government has introduced a large range of fiscal and financial support measures to mitigate the effects of the coronavirus pandemic on households and businesses (refer to **Extract 1**). The fiscal measures in **Extracts 2**, **3** and **4** were introduced over a period of weeks in three separate statements:

- Phase 1 (12th March 2020): $17.63b, the initial and relatively small package that involved a number of measures designed to support business investment (increasing the instant asset tax write-off, depreciation allowances, wage subsidies for apprentices and cash flow assistance) as well as some welfare support for social security recipients.
- Phase 2 (22nd March 2020): $66.1b - including the JobSeeker scheme. These financial measures (mainly to support small and medium sized businesses) include one off welfare payments, wage subsidies to employers, income support through JobSeeker and parenting payments, tax write-offs and depreciation allowances for small businesses and early release of superannuation funds. This package was intended to complement the $105b finance support package that the government and the Reserve Bank of Australia announced a week earlier.
- Phase 3 (30th March 2020): $130b in the form of a massive wage subsidy scheme. This programme centres around a $1,500 per fortnight per employee payment which is equivalent to 70% of the median wage, or around 100% of the median wage in the hospitality, tourism and retail sectors.

  Called the JobKeeper scheme, the subsidy is for full and part time workers, sole traders and casuals with a year's service including workers already stood down. The subsidy will cost $130b over six months for up to six million workers. To be eligible for the subsidy, a firm's turnover must fall by at least 30% to qualify, and if a firm's turnover is above $1b it must experience a fall in turnover of at least 50%.

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Extract 2: Economic Stimulus Package - 12th March 2020

Delivering Support for Business Investment

- $700m to increase the instant asset write off threshold from $30,000 to $150,000 and expand access to include businesses with aggregated annual turnover of less than $500 million (up from $50 million) until 30th June 2020.

- $3.2b to support business investment by providing a time limited 15 month investment incentive (through to 30th June 2021) to support business investment and economic growth over the short term, by accelerating depreciation deductions.

These measures are designed to support over 3.5 million businesses employing more than 9.7m employees. The measures are designed to support business sticking with investment they had planned, and encouraging them to bring investment forward to support economic growth.

Cash Flow Assistance for Businesses

- $6.7b to Boost Cash Flow for Employers by up to $25,000 with a minimum payment of $2,000 for eligible small and medium sized businesses. The payment will provide cash flow support to businesses with a turnover of less than $50m that employ staff, between 1st January 2020 and 30th June 2020. The payment will be tax free. This measure will benefit around 690,000 businesses employing around 7.8 million people. Businesses will receive payments of 50% of their Business Activity Statements or Instalment Activity Statements from 28th April with refunds to be paid within 14 days.

- $1.3b to support small businesses to support the jobs of around 120,000 apprentices and trainees. Eligible employers can apply for a wage subsidy of 50% of the apprentice's or trainee's wage for up to 9 months from 1st January 2020 to 30th September 2020.

Stimulus Payments to Households to Support Growth

- $4.8b to provide a one-off $750 stimulus payment to pensioners, social security, veteran and other income support recipients and eligible concession card holders. Around half of those that will benefit are pensioners. The payment will be tax free and will not count as income for Social Security, Farm Household Allowance and Veteran payments. Payments will be from 31st March 2020 on a progressive basis, with over 90% of payments expected to be made by mid April.

Assistance for Severely Affected Regions

- $1b to support those sectors, regions and communities that have been disproportionately affected by the economic impacts of the Coronavirus, including those reliant on industries such as tourism, agriculture and education. It will also include additional assistance to help businesses identify alternative export markets or supply chains. Targeted measures will also be developed to promote domestic tourism.

Source: www.pm.gov.au NB: All costings are over the forward estimates period

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Extract 3: Supporting Australian Workers and Business - 22nd March 2020

The $66.1b Economic Support Package includes:

- Support for households including casuals, sole traders, retirees and those on income support
- Assistance for businesses to keep people in a job
- Regulatory protection and financial support for businesses to stay in business

- Coronavirus supplement ($14.1b) of $550 per fortnight paid for the next 6 months to both existing and new recipients of the JobSeeker Payment, Youth Allowance jobseeker, Parenting Payment, Farm Household Allowance and Special Benefit.

- The Government will provide a further $750 payment to around 5m social security and veteran income support recipients and eligible concession card holders payable from 13th July 2020. This measure is estimated to cost $4b.

- Early release of superannuation - The Government will allow individuals in financial stress as a result of the Coronavirus to access up to $10,000 of their superannuation in 2019-20 and a further $10,000 in 2020-21. This measure is estimated to cost $1.2b.

- Temporarily reduce superannuation minimum drawdown rate by 50% for 2019-20 and 2020-21. Reducing social security deeming rates: From 1st May the lower deeming rate will be 0.25% and the upper deeming rate will be 2.25%. This measure is estimated to cost $876m.

- Boosting cash flow for employers: The Government is providing up to $100,000 to eligible small and medium sized businesses and not for profits (such as charities) that employ people with a minimum payment of $20,000. These payments will help businesses with cash flow so they can keep operating, pay their rent, electricity and other bills and retain staff. This measure is estimated to cost $39.1b.

- Coronavirus SME Guarantee Scheme: The Government will establish the Coronavirus SME Guarantee Scheme which will support small and medium enterprises (SMEs) to get access to working capital to help them get them through the impact of the Coronavirus. Under the Scheme, the Government will guarantee 50% of new loans issued by eligible lenders to SMEs. The Government will guarantee up to $20b to support $40b in SME loans.

- Providing temporary relief for financially distressed businesses: The Government is temporarily increasing the threshold at which creditors can issue a statutory demand on a company and the time companies have to respond to statutory demands they receive. The package also includes temporary relief for directors from any personal liability for trading while insolvent.

- Support for the aviation industry: As previously announced, the Government is also providing up to $715m in support for Australian airlines and airports, which will ensure that our aviation sector receives timely cash flow support through an unprecedented period of disruption to international and domestic air travel.

Source: www.ministers.treasury.gov.au NB: All costings are over the forward estimates period

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Extract 4: JobKeeper Payment: Supporting Businesses to Retain Jobs - 30th March 2020

The economic impacts of the Coronavirus pose significant challenges for many businesses - many of which are struggling to retain their employees.

Under the JobKeeper Payment, businesses and not-for-profits significantly impacted by the Coronavirus outbreak will be able to access a wage subsidy from the Government to continue paying their employees. This assistance will help businesses to keep people in their jobs and re-start when the crisis is over. For employees, this means they can keep their job and earn an income. The JobKeeper Payment is a temporary scheme open to businesses impacted by the Coronavirus. The JobKeeper Payment will also be available to the self-employed.

The Government will provide $1,500 per fortnight per employee until 27 September 2020. The JobKeeper Payment will support employers to maintain their connection to their employees. These connections will enable business to reactivate their operations quickly - without having to rehire staff - when the crisis is over.

Employers (including not-for-profits) will be eligible for the subsidy if, at the time of applying:

- Their business has an aggregated turnover of less than $1b (for income tax purposes) and they estimate their turnover has fallen or will likely fall by 30% or more; or
- Their business has an annual turnover of $1b or more (for income tax purposes) and they estimate their turnover has fallen or will likely fall by 50 per cent or more; and
- Their business is not subject to the Major Bank Levy.

Self-employed individuals will be eligible to receive the JobKeeper Payment where they meet the relevant turnover test outlined above, and are not a permanent employee of another employer. Eligible employers will receive the payment for each eligible employee that was on their books on March 1st 2020 and continues to be engaged by that employer - including full time, part time, long term casuals and stood down employees. Casual employees eligible for the JobKeeper Payment are those employees who have been with their employer on a regular and systematic basis for at least the previous 12 months as at March 1st 2020.

Payments will be made to the employer monthly in arrears by the ATO. The subsidy will start on March 30th 2020 with the first payments to be received by employers in the first week of May 2020.

Source: www.treasury.gov.au

These stimulus measures are designed as fiscal support packages aimed at keeping demand and businesses alive while social distancing and lockdown provisions are in place. These are targeted at consumers, workers and businesses who are encouraged to spend on consumption and investment to support aggregate demand and economic growth. The measures also have bipartisan support from the Opposition and National Cabinet. They should provide support for employment and people's incomes at a time when expenditure, output, employment and incomes decline during a recession.

The Budget Deficit

The Australian government's budget outcome in 2019-20 will be a budget deficit where expenditure (G) exceeds revenue (T). This will be due to both cyclical and structural factors. The cyclical component in the budget of the automatic stabilisers will mean that:

- Taxation revenue will fall as spending, incomes and profits fall meaning less taxation revenue collected from income and company tax and the GST.

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- Increased expenditure on JobSeeker payments and unemployment benefits as more people become unemployed.

The structural or discretionary component of the budget is being forced into deficit through explicit Australian government spending and taxation policy changes:

- Increased government spending on the $130b JobKeeper programme and various other measures to support businesses and their cash flows.

- The instant tax write-off threshold is being increased to $150,000 and businesses given a 50% deduction on the cost for eligible assets. This is estimated to cost $3.9b.

The Australian economy will contract in the March and June quarters 2020 but the massive stimulus spending by the Australian government will last until September and may reduce the size of the economic contraction. Nevertheless the $7.1b budget surplus forecast in the April 2019-20 budget will now be replaced by a budget deficit of at least -$14b which is a $21b deterioration in the budget outcome in one year.

Net Debt

The Australian government had a net debt of $373.5b in 2018-19 which represented 19.2% of GDP. In the April 2019-20 budget net debt was forecast to fall to $361b or 18% of GDP.

The net interest payments on the $361b net debt were forecast at $10.9b or 0.5% of GDP. The Australian government forecast that the net debt and net interest payments would fall over the forward estimates period (2020-23) as the government accumulated budget surpluses and used these surpluses to pay down net debt.

The current outlook for the budget is that the budget deficit will be at least -$14b and predictions are that the net debt could climb to $500b or more. The budget deficit and net debt will continue to increase and the Australian Office of Financial Management (AOFM) will be required to sell government bonds (Australian Government Securities) to fund the deficit. As of April 3rd 2020 the AOFM had $579.2b of bonds on issue to investors. Around 56% of AGS are held by non residents (foreign banks, central banks and investors) and 44% by residents (banks, superannuation funds and institutional investors). The Australian government has a AAA credit rating and should be able to fund any increase in net debt and net interest.

FISCAL MEASURES IN RESPONSE TO THE COVID-19 PANDEMIC: REVIEW QUESTIONS

1. Explain why the Covid-19 pandemic is a supply shock to the Australian economy.
2. Explain why the Covid-19 pandemic is also a demand shock to the Australian economy.
3. Discuss the Australian government's economic response to the coronavirus in Extract 1.
4. Discuss the main elements of the Economic Stimulus Package on 12th March 2020.
5. Discuss the main elements of the Economic Support Package on 22nd March 2020.
6. Discuss how the JobKeeper Payment supports employers and employees.
7. What are the implications of the Covid-19 pandemic for the Australian government's budget outcome and net debt?

DEFINE THE FOLLOWING TERMS

automatic stabilisers	fiscal policy	net interest payments
budget	fiscal stimulus	recession
budget deficit	government bonds	structural component
cyclical component	government expenditure	supply shock
demand shock	net debt	taxation revenue

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